Lesson 3 · From gross pay to take-home pay

Name: _____

Use the tax table extract. Read column 2 (with tax-free threshold) unless a question says otherwise. Show your working in each box.

Example Ella earned $575 (Lesson 2). Tax withheld, column 2: $36.
Net pay = $575 − $36 = $539

Q1 Jess earns $700 this week. Find the tax withheld and her net pay.

Q2 Mia's week in Lesson 2 earned $576, which is $1 more than Ella's. Find the tax withheld and her net pay. Did the extra $1 change the tax?

Q3 Priya's normal week is $1,000. Find the tax withheld and her net pay.

Q4 Look up $600 in both column 2 and column 3. Which column withholds more tax, and by how much?

Putting it together Sam works weekday shifts only and earns a salary of $46,800 per year. He has claimed the tax-free threshold.

(a) What is Sam's gross weekly pay?

(b) Use the tax table to find his tax withheld and net weekly pay.

(c) Sam's award pays 17.5% leave loading. How much is he paid in total for 4 weeks of annual leave?

Extension Using 1 year = 52 weeks, how many weeks long is an average month? Use your answer to explain why “monthly pay = 4 × weekly pay” always gives too little.